

DRAFT



Zimbabwe Electricity Transmission & Distribution Company



CREDIT CONTROL AND DEBT MANAGEMENT POLICY

This document shall be cited as the Credit Control and Debt Management Policy and is intended to be read in conjunction with the Commercial Guidelines and Financial Instruction that will be in force from time to time as amended and sanctioned by the Managing Director or his Representative.

1. DEFINITIONS

“account”	an account rendered by ZETDC for electricity consumed.
“arrears”	any amount due, owing and payable in respect of electricity charges not paid by due date.
“customer”	any person liable to ZETDC for electricity charges.
“defaulter”	any customer in arrears.
“due date”	the date on which the customer’s account become due and payable.
“owner”	the person in whom from time to time is vested the legal title to the premises.
“payment plan”	agreement made with customer with regards to arrears.

2. PURPOSE

The purpose of this policy is to ensure the effective and fair collection of revenue and general debts in accordance with documented processes and procedures.

3. CREDIT CONTROL AND DEBT MANAGEMENT PRINCIPLE

The credit control and debt collection policy is based on the following principles:-

- i. The credit control and debt collection measures must be instituted promptly, consistently, and effectively without exception and with the intention of proceeding until the debt is collected.
- ii. Credit control measures must be effective, efficient, economical and sustainable in the long term
- iii. The administrative integrity of ZETDC must be maintained at all times.
- iv. Customers must receive regular and accurate accounts that indicate the basis for calculating the amounts due.

4. REGISTRATION OF CUSTOMERS

- 4.1 No registrations or addition to the customer database can be processed unless legal documentation acceptable to the Company Secretary has been produced in each instance; and
- 4.2 With respect to domestic customer registrations, where the customer is the owner of the property, the following documents must be produced:
 - i. certified copy of the identity document or passport;
 - ii. a letter from the transferring attorney confirming ownership or a copy of the Title Deed; and
 - iii. a duly signed ZETDC E22 form.
- 4.3 With respect to domestic customer registrations, where the customer is a tenant of the property the following documents must be produced:
 - i. certified copy of the identity document or passport;
 - ii. a signed lease agreement and letter of consent from the property owner guaranteeing the tenant.
 - iii. a duly signed ZETDC E22 form.
- 4.4 With respect to business customer registrations, the following documents must be produced:
 - i. the Certificate of Registration or Incorporation of the Company, Trust or Partnership
 - ii. list of directors, trustees or partners
 - iii. certified copy of the identity document or passport of one of the directors, trustees or partner who would open the account.
 - iv. proof of ownership of the property,
 - v. lease agreement and landlord consent
 - vi. a duly signed ZETDC E22 form
- 4.5 Where there is change in change of ownership or occupancy of the property, the onus and obligation is on the customer to advise ZETDC on such change.

5. SECURITY DEPOSIT

- 5.1 Security deposit will be due and payable on enrolment of a new customer and subject to a review upon the movement of existing customer to a new premises as given in the Commercial Guidelines.
- 5.2 Security deposit will be reviewed each time a defaulting customer is disconnected for non-payment and an additional deposit may be requested if the initial deposit is insufficient to cover three months consumption costs.
- 5.3 Government accounts and those of accredited diplomatic missions may not be required to make a security deposit

6. ACCOUNT MANAGEMENT

- 6.1 All accounts shall be billed on a monthly basis.
- 6.2 ZETDC will undertake to have the accounts posted to all customers.
- 6.3 However failure to receive or accept accounts does not relieve a customer of the obligation to pay any amount due and payable. The onus is on the customer to make every effort to obtain a copy of the account for payment.

7. PAYMENT OPTIONS

- 7.1 ZETDC must endeavour to establish a payment office network to ensure that, wherever practically possible, customers in receipt of accounts have access to a payment office within reasonable distance of their premises.
- 7.2 Every effort will be made to ensure that all payments, particularly from off-line ZETDC offices and third-party agents, are received within a maximum of 3 days of the original payment date. However, the onus is on the customer to make allowance for delays in respect of such payments.
- 7.3 Where any payment made to ZETDC or its authorised agent by negotiable instrument, is later dishonoured by the bank, ZETDC:
 - a. will charge a penalty of \$10.00 and \$20.00 for domestic and business customers respectively relating to a dishonoured negotiable instrument against the account of the customer;
 - b. shall regard such an event as default on payment and shall be dealt with as an arrear account;
 - c. reserves the right to disconnect power supplies

8. PAYMENT ALLOCATION PRIORITIES

- 8.1 When part payments are received against an account with various bills outstanding, ZETDC shall allocate such payments in terms of the following table of priorities as determined from time to time.

PRIORITY NO	BILL STATUS	SERVICE
1	Current	Additional Security Deposit
2	Current	Reconnection fees
3	Arrears	Electricity Charges
4	Current	Electricity Charges

9. PAYMENT ARRANGEMENT

In extreme situations, payment arrangement may be entered into, to allow a Customer to pay an outstanding account balance over a period of time. All such payment arrangements must be approved by management in line with approved authority limits.

9.1 In cases where debtors request for a payment arrangement to liquidate their arrears, the following criteria will apply:

- i. current accounts to be paid in full
- ii. monthly instalments as determined in sub-item (10.2) (a-d) below

10.2 The payment plan approval limits are as follows:

- a) Sales Manager - 3 months
- b) Commercial Manager – 6 months
- c) General Manager - up to 9 months
- d) Commercial Director - up to 12 months
- e) Managing Director - above 12 months

10.3 All payment arrangement agreements (Deed) should be signed by the customer and the approving authority.

10.4 In all cases failure to adhere to conditions of the payment agreement will result in normal credit control procedures and all debt collection processes as provided for in this Policy may be taken.

10. DISCONNECTION FOR NON PAYMENT

All customers should settle their account within 14 days of issuance of the accounts. If an account remains unpaid after the due date, disconnection of supplies will be effected.

11. RECOVERY OF DEBT THROUGH PREPAYMENT METERS

Any electricity charges outstanding on an account when a prepaid meter is installed must be uploaded into the prepaid meter for recovery.

11.1 Domestic debt is recovered at a flat rate reviewed and approved from time to time by the Managing Director.

11.2 Debt owed by business customers is recovered on an agreed payment plan of up to a maximum period of 6 months.

12. PROVISION FOR BAD AND DOUBTFUL DEBT

Where uncertainty arises about the collectability of the amount included in the revenue (sales income) the uncollectable amount shall be determined according to guidelines given by the Finance Director.

12.1 The Aged Debtors listing shall be used as the basis for making provisions for bad and doubtful debts.

13. DEBT WRITE-OFF

In respect of debt write off, schedules indicating the following shall be produced and submitted for approval by the managing Director

- a) debtor account number,
- b) the debtor's name and the physical address in respect of which the debt was raised
- c) the amount per account
- d) reasons to write-off the amount

Document Type	Prepared by: RETAIL MANAGER Sign:	Reviewed by: COMMERCIAL DIRECTOR Sign:	Approved by: MANAGING DIRECTOR Sign:	Effective Date:	Revision
POLICY					